

significant number of existing customers who continue to demand exceptional service and investors who expect steady, growing returns.

Scott says,

It goes against the grain of what people have been taught in business and what leaders have been taught. The problem isn't with the teams or the entrepreneurs. They love the chance to quickly get their baby out into the market. They love the chance to have the customer vote instead of the suits voting. The real issue is with the leaders and the middle managers. There are many business leaders who have been successful because of analysis. They think they're analysts, and their job is to do great planning and analyzing and have a plan.

The amount of time a company can count on holding on to market leadership to exploit its earlier innovations is shrinking, and this creates an imperative for even the most entrenched companies to invest in innovation. In fact, I believe a company's only sustainable path to long-term economic growth is to build an "innovation factory" that uses Lean Startup techniques to create disruptive innovations on a continuous basis. In other words, established companies need to figure out how to accomplish what Scott Cook did in 1983, but on an industrial scale and with an established cohort of managers steeped in traditional management culture.

Ever the maverick, Cook asked me to put these ideas to the test, and so I gave a talk that was simulcast to all seven thousand-plus Intuit employees during which I explained the theory of the Lean Startup, repeating my definition: an organization designed to create new products and services under conditions of extreme uncertainty.

What happened next is etched in my memory. CEO Brad Smith had been sitting next to me as I spoke. When I was done, he got up and said before all of Intuit's employees, "Folks, listen up. You